Can Private Be the New Public?
Quantifying Conflicts of Interest in Publicly Listed Private Equity

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Abstract

Delegated asset management faces an inherent agency problem. Many decades have been dedicated to designing and studying contracts that try to optimally incentivize fund managers through compensation structure, especially in private equity and venture capital where information frictions are greater. When private equity firms go public, compensation shifts from fund-level to firm-level which create novel conflicts of interest. Compensating managers with stock not only ties a portion of their pay to the entire firm, but also places it to be determined by market forces which may be at odds with how fund managers are traditionally compensated. Public listing also allows other investors access to become part owners of the firm and gain indirect exposure to returns from the underlying, inaccessible-to-them private funds. In this paper, we will document a number of facts related to fund characteristics and returns for these firms that decided to publicly list, and rationalize these changes with a theoretical model that draws on the fundamental conflict of interest that the new compensation structure poses.

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1 Introduction

Over recent decades, the private equity industry has become increasingly institutionalized. Management firms have matured and attracted more capital from investors, growing to an over $22T market including asset classes such as private equity, real estate, and private credit.[1] As they expand and develop, so too must their operational and governance procedures. Given PE firms are traditionally partnerships centered around a few key founders, the choices around how to manage their succession are paramount. One common way this has been dealt with in recent years is through an IPO of the management company, which provides immediate liquidity to the owners. However, this restructuring and gearing towards public markets comes with two interesting considerations. First, applicable to all companies which IPO, is that managers will now be partially compensated in terms of public stock in order to align interests with investors. These investors may value the income streams from fund management fees differentially compared to the performance earnings. As private equity managers are already the subject of a strong agency problem with private fund investors, an additional change in compensation can distort incentives. Second, and specific to the private equity industry, is that public shares are purchasable by any buyer, including retail investors. Private equity funds have usually been off-limits to households, yet these stocks allow households to become "part owners" of the PE firm.

Based on these two specific effects of an IPO, we can ask two broad questions. First, given the high-powered agency problem present in private equity, how does the change in compensation impact manager incentives and the choices they make. We know from existing literature on non-financial firms and banks that public offerings measurably change behavior, and private equity firms should not be immune. However, due to unique frictions and contracting around the delegated asset management business model, outcome predictions will be different than those in other industries. To be more specific, we can examine how PE firms change their investment strategy , their fundraising strategy, and the interfacing between the two. Second, who benefits from the transition from public to private among the three main agent types (GPs, LPs, and public shareholders)? Ex-ante, we would expect the GPs at the time of IPO experience some net gain, else they would not choose to carry out the offering. Similarly, if the post-IPO compensation scheme shifts incentives away from LPs in favor of shareholders, then LPs may see a reduction in welfare. However, the direction and size of the impact

[1] See: https://www.mckinsey.com/industries/private-capital/our-insights/global-private-markets-report

for future GPs, LPs and shareholders is not immediately apparent. This question comes with the corollary of how public shareholders value the firm in the first place and their general performance compared to the LPs.

To be clear, this paper will focus on GPs that list their management company, so-called publicly listed private equity (PLPE) firms such as Blackstone, Carlyle, and KKR, whose shares represent claims similar to those of the GP. Their listing structure differs from other listed PE firms whose shares represent LP-like claims.[2] The latter have limited room for exacerbating the agency problem between GPs and LPs, as the share values should reflect the LPs cash flow claims.

In this paper, we will first present an illustrative framework that will demonstrate how changes to the compensation structure of GPs can alter their fund management and investment behavior. Second, we will examine the price supports for the PLPE firms' stocks to confirm that the main determinant is in fact the management fee these firms earn from their funds. These two sections together will generate some hypotheses testable in the data. Third, we will investigate if there is any measurable difference in how these GPs size their funds, structure their returns and deals, and how they source their capital from before and after their IPO.

1.1 Literature Review

This paper takes cues from multiple strands of literature. The first is the dynamics of private equity fund sizing and returns. Much work has been dedicated to measuring private equity fund returns, in the context of both absolute and risk-adjusted returns, with the constraint of intermittent distributions and asset value reporting (Long and Nickels, 1996; Kaplan and Schoar, 2005; Phalippou and Gottschalg, 2008; Harris et al., 2014; Ang et al., 2018; Korteweg, 2019; Gupta and Van Nieuwerburgh, 2021; Korteweg and Nagel, 2024). There are a number of studies which examine the returns and factor exposures of listed private equity, with a primary focus on firms listed with LP-like claims Jegadeesh et al. (2015); Brown and Volckman (2025). This paper would contribute to these ideas by directly comparing the performance of the publicly listed, GP-like shares with the underlying private investment funds, both on an aggregated and within-firm basis. The literature and industry practitioners have also studied how fund performance degrades with capital allocated (diBartolomeo, 2012; Lopez-de Silanes

[2] See European GPs such as 3i Group and Partners Group.

et al., 2015; Bhardwaj et al., 2025). This is an important point for there to be any conflict; otherwise, these firms could grow without any negative impact on LPs.

Second is the literature related to corporate governance, the decision to go public, and the ultimate impact on firm strategy and risk taking. There are many reasons for why a company would want to take public capital, ranging from simply cheap capital, diversification of existing owners, and easing the process of mergers and acquisitions (Pagano et al., 1998; Brau and Fawcett, 2006). Other studies focus on the fact that the IPO decision is based on the costs of disclosure and at what stage of development the firm is in (Chemmanur and Fulghieri, 1999; Ferreira et al., 2012). In the context of private equity firms, it is interesting that the prevalence of IPOs has increased given the well-known information frictions that exist in the industry and the reliance on "key" people within the firm. It is generally understood that going public changes the behavior of firms, and for banks specifically, studies have shown that it leads to an increase in risk (Bolton et al., 2015; Larrain et al., 2025; Falato and Scharfstein, 2025). As of yet, there is little study of what changes public listing brings to other financial institutions, and this paper aims to address that gap.

Third is the literature related to the theoretical side of private equity and venture capital fund management. There is already a large body of work dedicated to various aspects of delegated asset management (Lerner and Gompers, 2002; Berk and Green, 2004; Axelson et al., 2009; Inderst and Ottaviani, 2012; Gennaioli et al., 2015). These papers center around the fundamental agency problem that investors and fund managers face, and this paper will show the theoretical impact of altering specific parts of the incentive structure on the part of the fund managers. The specific compensation structure has only recently been tackled by Berk and DeMarzo (2026) and this paper aims to directly extend those findings. The impact of public listing on the high-powered incentives present in private equity has been a concern since before the first IPO by Blackstone in 2007, and practitioners notice shifts in the increased institutionalization of the industry over the past two decades. (Jensen, 2007; Moore and Hale, 2025). This study will contribute by stating these incentive changes in a concrete theoretical model, and examining whether those predictions match the reality that has been realized.

Fourth is the literature regarding broadening access to private markets. There has been study of the costs and benefits to increasing access of retail investors both through investment accounts and general solicitation (Howell et al., 2024; Balloch et al., 2025). Public listing accomplishes broadening

access both to retail investors, who otherwise cannot access private markets, and to institutional investors who have been unable to invest in the funds of the largest PE firms.

This paper is highly related to a recent working paper from Gahng and Jackson (2022) in which they study the impact of GP stake sales on fund manager behavior. They find many changes related to growth and insider investments post-sale, and that the buyers of these stakes outperform other investments. GP listing is a stake-sale in that the original owners are selling to outsiders; however, it also comes with the governance and compensation changes described previously. They specifically exclude the listed GPs that this paper will focus on, and in this way, this paper complements their existing work.

2 Motivating Evidence

If the previously mentioned conflicts and incentive changes are important, then they should be disclosed by the PLPE firms. This can be seen from two sides: filings given to the public shareholders (in initial prospectuses, 10-Qs, and 10-Ks) and to private investors (in PPMs and various SEC disclosures). First, PLPE firm IPO prospectuses mention a unique risk factor: the offering and ensuing change in compensation structure for managers will create challenges in motivation and alignment of incentives. For example, from KKR's prospectus:

> We strive to maintain a work environment that reinforces our culture of collaboration, motivation and alignment of interests with investors. If we do not continue to develop and implement the right processes and tools to manage our changing enterprise and maintain our culture, our ability to compete successfully and achieve our business objectives could be impaired, which could negatively impact our business, financial condition and results of operations.

This type of language is not present in other, non-PLPE prospectuses, even among other financial institutions. This is evidence that firm directors are aware that the altered compensation structure associated with a public offering could change manager incentives for the worse (though specifics of possible effects are naturally excluded from the prospectus). An alternative is that these are not relevant factors and are only recommended for inclusion in filings by lawyers to preclude lawsuits. However,

changing compensation structure to include public shares is relevant for any company pursuing an IPO, so there must be an element that makes this risk factor unique to the PLPE firms.

Similarly, they disclose the opposite conflict to potential LPs with respect to private fundraising. For example, from Blackstone's Form ADV[3]:

> In addition, as a consequence of Blackstone's status as a public company, the officers... of the Adviser can be expected to take into account certain considerations and other factors in connection with the management of the business and affairs of a Client and its Portfolio Entities that would not necessarily be taken into account if Blackstone were not a public company.

The equity-based compensation of fund managers is sizable and spans the entire structure of the PLPE firms. As one example of the compensation scheme as it stands now, we can look at Carlyle Group's most recent adjustment to their equity incentive program.[4] In terms of flow, the compensation replaces up to 20% of carried interest-based payments. In terms of then current levels, executive officers held $262M in shares and all other of the approximately 2,000 employees held a total of $2.7B in shares. Both the flow and levels are sizable, and thus make up a large component of employee compensation and wealth.

A key empirical fact is the extent to which these listed GPs have outgrown peers since becoming publicly listed. This behavior, known as "asset gathering", would be consistent with changing compensation to be more reliant on management fees, which grow mechanically with assets under management. Figure 1 shows growth-based indices for both listed and non-listed GPs. The blue line shows the result of averaging the log growth rate in total funds under management for all GPs that have listed prior to that year, then summing that average growth over time, and finally exponentiating to bring back to an index. The dash orange line repeats this procedure for the 50 largest non-listed GPs in each year, including GPs that have not yet listed. There is a stark difference in the two curves: listed GPs have cumulatively grown nearly 7x on average since 2006, while non-listed GPs have only grown approximately 2x on average.

[3]Specifically, Blackstone Tactical Opportunities Advisors's disclosure, which is a direct subsidiary of Blackstone.
[4]See https://www.sec.gov/Archives/edgar/data/1527166/000152716624000044/def14a.pdf

3 Illustrative Framework

3.1 Setup

Consider a two period model in which a CARA-utility LP is looking to invest one unit of capital in either the market portfolio or a single private equity fund to be raised by a CARA-utility GP. Both agents have risk aversion parameter γ, and want to maximize their expected utility in the second period, when all payments are realized. Assume that the market portfolio's return, $\mathcal{R}_m$ is normally distributed with mean μ and variance σ^2.

The structure of the compensation contract they are basing their agreement on is exogenous, and mirrors the standard private equity contract with a management fee percentage ξ and carried interest κ. For simplicity, assume that carried interest is a linear sharing rule, as opposed to having a hurdle rate of return before taking effect. When raising the fund in the first period, the GP will choose the size of the fund, A, and the risk exposure of the fund, which is reflected in as the market exposure, B. In equilibrium, the GP will choose these such that the LP is willing to invest. Taking inspiration from Berk and DeMarzo (2026), the GP has innate skill α, which decays at a rate ϕ for each unit of capital allocated. The form of the returns provided by the fund as a function of A and B is then:

$$f\left(A, B\right) = \alpha - \phi A + B \times \mathcal{R}_m \tag{1}$$

The LP's optimization problem is to choose their optimal capital allocation, A^*, given the fund's market beta. Given the exogenous contract discussed above, this will involve the maximization:

$$\max_A E_{\mathcal{R}_m}\left[U\left(A \times (1 + (1-\kappa) * f(A,B) - \xi) + (1-A)(1+\mathcal{R}_m)\right)\right] \tag{2}$$

As the LP has CARA utility, this can be solved by maximizing the certainty equivalent. After converting the problem and taking first-order conditions, this results in the optimal capital allocation:

$$A^* = \frac{(1-\kappa)\alpha - \xi + ((1-\kappa)B - 1)(\mu - \gamma\sigma^2)}{2(1-\kappa)\phi + \gamma\sigma^2((1-\kappa)B-1)^2} \tag{3}$$

We can see that the LP will allocate capital in proportion to both how much the fund outperforms on an absolute basis net of fees (the left two terms of the numerator) and how much the fund offsets

market risk (the right term of the numerator).

Proposition 1. *If the GP is sufficiently skilled relative to the management fee,* $(1-\kappa)\alpha > \xi$*, then the LP will choose to invest a positive amount of capital in the fund.*

Proof of Proposition 1. Taking the A^* the LP solved for, the LP can then check to see the B that would maximize their own welfare. The LP will choose B such that their carried-interest-adjusted risk exposure is the same as investing in the market itself, i.e., they will get the alpha net of fees and the market. Equivalently, they set

$$B^*_{LP} = \frac{1}{1-\kappa}$$

This results in the A^*_{LP} that maximizes LP welfare:

$$A^*_{LP} = \frac{(1-\kappa)\alpha - \xi}{2(1-\kappa)\phi}$$

which is greater than zero only if $(1-\kappa)\alpha > \xi$ holds. □

Proposition 2. *If the market is sufficiently risky,* $\gamma\sigma^2 > \mu$*, and the GP is sufficiently skilled,* $(1-\kappa)\alpha > \xi$*, then the optimal allocation is decreasing in* B*,* $\frac{dA^*}{dB} < 0$*.*

Proof of Proposition 2. Let $\omega = (1-\kappa)B - 1$. The derivative of the A^* with respect to B is:

$$\frac{dA^*}{dB} = \frac{(1-\kappa)\left(\left(\mu-\gamma\sigma^2\right)\left(2\left(1-\kappa\right)\phi - \gamma\sigma^2\omega^2\right) - 2\gamma\sigma^2\omega\left(\left(1-\kappa\right)\alpha\right) - \xi\right)}{\left(2\left(1-\kappa\right)\phi + \gamma\sigma^2\omega^2\right)^2}$$

The denominator is always non-negative. The numerator is positive if

$$\left(\mu-\gamma\sigma^2\right)\left(2\left(1-\kappa\right)\phi - \gamma\sigma^2\omega^2\right) < 2\gamma\sigma^2\omega\left(\left(1-\kappa\right)\alpha\right) + \xi$$

From Proposition 1, at the optimal B^*_{LP}, $\omega = 0$. This results in the following:

$$\left(\mu-\gamma\sigma^2\right)\left(2\left(1-\kappa\right)\phi\right) < \xi$$

Given the assumption on market riskiness and the implicit assumption the management fee is positive, this condition holds. The GP will deviate from this optimal to get additional market exposure and

gain carried interest. This results in $\omega > 0$, which adds a positive factor to the right hand side and keeps the left hand side negative. Therefore, the condition holds. □

As the GP will want to ensure the fund raises successfully, the GP will take this optimal asset size as given and then optimize with respect to B. To model a possible preference for fee-based earnings, we multiply that component in the GP's problem by parameter λ, where $\lambda > 1$ represents an out-sized value placed on fees. This results in the maximization problem:

$$\max_{B} E_{\mathcal{R}_m} \left[U \left(\lambda \xi A^* + \kappa A^* \times f(A^*, B) \right) \right] \tag{4}$$

Proposition 3. *If the market is sufficiently risky, $\gamma\sigma^2 > \mu$, and the GP is sufficiently skilled, $(1-\kappa)\alpha > \xi$, then the optimal market exposure is decreasing in λ, $\frac{dB^*}{d\lambda} < 0$.*

Proof of Proposition 3. Let $\omega = (1-\kappa)B - 1$. Following the first order conditions for the GP's maximization, the implicit derivative of the B^* with respect to λ is:

$$\frac{dB^*}{d\lambda} = -\frac{\partial(FOC)/\partial\lambda}{\partial(FOC)/\partial B}$$

As the GP is maximizing, the denominator is negative at the optimum. Therefore, the condition simplifies to $\partial(FOC)/\partial\lambda < 0$. After some computation, this is equivalent to $\xi \times \frac{dA^*}{dB}$. Given Proposition 2 and the assumptions above, this is negative. Therefore, the proposition holds. □

From the above Propositions 2 and 3, we have information as to the sign of two comparative statics. We present these and other statics in Figure 2. As is consistent with the proofs, increasing the λ parameter decreases the chosen market beta and increases the fund size (top left). Other changes are also reasonable, such as allocation increasing in α (the fund becoming more attractive), and decreasing in ξ and μ (the fund becoming less attractive relative to the market). The one that is counterintuitive is that allocation increases with the carried interest rate. This is because under the linear contract, the GP will actually partially offset the LP's losses in bad states at the carried interest rate.

The main finding of decreased risk-taking can be surprising, as this is the opposite result as for banks, as documented in previous works (Bolton et al., 2015; Larrain et al., 2025; Falato and Scharfstein,

2025). The key is in the fundraising and contract structure. For GPs, the source of funding is the same as who they are investing on behalf of. In addition, the standard PE contract provides a clear separation for different cash flows, which can be identified and valued differentially.

3.2 Hypotheses

The simple illustration results in a few testable hypotheses for when GPs move from private ownership to public ownership. First, an increased weight on management fees will incentivize larger funds. Second, given the decreasing marginal returns with respect to size documented in the literature, this will be paired with lower absolute returns. Third, to both ensure LPs are willing to invest in lower-return funds and to protect their future fee streams (unmodeled), GPs must instead craft returns that have lower correlation/are a greater hedge to broader portfolios. In other words, they will reduce risk-taking, either through portfolio company investment choices or financial engineering or both. The proceeding sections will test whether these seem to be true in the data available.

4 Data & Analysis

This section details the data available and proceeds to analyze the effects of GP management company public offerings.

4.1 Data Sources

The primary data used for this analysis is from PitchBook. PitchBook provides extensive coverage of private equity GPs, the funds they raise, and the deals invested by those funds. The fund-level data includes items such as fund size and fundraising start and end dates. The deal-level data includes data points such as deal size, company valuation, and company industry.

We opt to use Preqin for fund-level returns data. Preqin reports fund size, percent of capital committed distributions to paid in capital (DPI), total value of paid in capital (TVPI), and internal rate of return (IRR), the latter three all net of fees. By taking the final value reported, we can get the total headline return of the fund in terms of both TVPI and IRR. From all reported data, we can also back out the percent return provided by the fund for each quarter of its lifespan. This is possible

because the change in capital committed times the fund size can be treated as a negative dividend. Likewise, changes in DPI and TVPI can provide the positive dividends and changes in net asset value.

For the quarters after PLPE firms have listed, they must file 10-Qs and 10-Ks with the SEC. These filings include the usual GAAP measures of earnings, assets, and liabilities, as well as non-GAAP items such as assets under management, management fee earnings, and performance earnings. We source both realizations and average forecasts for these non-GAAP variables from equity research analysts as compiled by Bloomberg. These two items allow me to construct surprises based on the underlying earning types, as opposed to only having access to headline earnings per share surprises. Sadly, these are available starting only in 2016, and so are not available for the entire set of PLPE GP-quarter observations, but this leaves nearly a decade of panel data.

Finally, we acquire broad market equity indices from CRSP/Compustat. Specifically, we use the Russell 2000 index. This will be used as both a performance benchmark and a reference to compute market betas. The market beta can be naively computed by regressing the quarterly fund returns mentioned above with the quarterly index returns.

Summary statistics of interest are displayed in Table 1. The top panel shows summary statistics at the GP level. There are a very small number of PLPE GPs, at only 11, yet they have raised over 10% of the total capital in the private equity space. They are on average over twice as old as the average non-PLPE fund (measured as the time from the first time they show up in PitchBook to 2025). The middle panel shows fund-level summary statistics. The PLPE GPs have an outsized number of funds and average fund size. On average, they underperform in terms of TVPI and IRR, and relatively have a higher market beta. Finally, the bottom panel shows statistics of the underlying deals. The PLPE GPs invest in generally larger deals in older, more profitable companies. These variables will be examined in a regression context in later sections.

To get an idea for the scale of the GPs at the time of their IPO, Figure 3 shows the distribution of PLPE GP AUMs as of their IPO against the population of private equity GPs. While the PLPE GPs are generally relatively large, with half being in the top decile of AUM, there a number within the more populated portion of the distribution. The takeaway is that while many of the PLPE firms are among the largest, it is not a prerequisite.

4.2 Public Stock Determinants

First, we will confirm the commonly referenced assumption that the public stock of these GPs is driven by their ability to generate management fees. A priori, this could make sense as management fees are a stable earnings source, while performance fees are noisy and co-vary with the market. However, fund performance should be informative of future ability to raise new capital and grow management fees.

We apply the framework from Ohlson (1995) to formally test the impact of each earnings component on stock prices. Specifically, we run the following regression of prices P for GP i and quarter t, where $BEPS$ is the book equity per share:

$$P_{i,t} = \alpha_i + \beta_1 BEPS_{i,t} + \beta_2 FREPS_{i,t} + \beta_3 PEPS_{i,t} + \epsilon_{i,t} \tag{5}$$

If one component is more predictive, then it should both have a significant coefficient and add significant predictive power. The former can be examined with a standard t-test, while the later can be tested by comparing the specification with only BEPS with the specifications with earnings components via the test from Vuong (1989).

These results are shown in Table 2. The first column shows the baseline regression in which price per share is regressed only on the book equity per share. As expected this is significant and achieves a high R^2 of 60%. Adding the FREPS in Column 2 results in a significant coefficient on FREPS. This increases the R^2 by 18 percentage points, and this is a statistically significant increase by the Vuong test. In Column 3, the PEPS instead is insignificant, and R^2 essentially does not change (the adjusted R^2 is negative and so the Vuong test statistic is negative). Combining both regressors in Column 4 results in positive coefficients on all variables, but little change in R^2 compared to Column 2. Taken in total, it is clear that fee-related earnings are a much stronger driver of stock price. In terms of magnitude, the FREPS coefficient implies that every dollar translates into 50-60 dollars in share price. This is relatively close to the multiple analysts assign these earnings, which is around 40x.

Taking this analysis a step further, we can look at the reaction of stock returns to surprises in earnings relative to analyst forecasts. We can construct the percent surprise in both FREPS and PEPS based on equity research analysts, and then regress the total return in each GP's stock on the three days following reporting on these surprises. We choose the three days after to allow prices to

incorporate information. We would expect that like the previous level regressions, that surprises in FREPS should be a greater predictor of returns in the time period around earnings announcements. These regressions are shown in Table 3.

Column 1 starts by regressing the 3 day returns against headline EPS surprises. As is usual, these are positively related to future returns, with every percent in unexpected EPS leading to a 0.5bp return over the next three days. In Column 2, we replace EPS with FREPS and get both a larger coefficient and double the R^2. Now, for every percent, there is an implied 3bp return on average. Adding both at the same time in Column 3 leads to FREPS dominating, as expected. In Column 4, a surprise to PEPS is not a significant predictor to future returns. Surprisingly, including both EPS and PEPS surprises even leads to a negative coefficient on PEPS in Column 5.

We can further examine whether downside surprises cause a stronger reaction than upside surprises. To do this, we define an indicator for if the earnings surprise is below zero and interact this with the earnings magnitude, and test if this interaction is significant. In Column 6, we run this with EPS, and find that there is no significant relation, though the coefficient is positive. For FREPS in Column 7, however, the downside is much larger than the upside. The two coefficients taken together imply that for every percent in negative surprise results in a massive 18bp drop in stock price. This stronger reaction would greatly incentivize managers to ensure disappointing FREPS reports do not happen.

4.3 Testing Hypotheses

Given that we have verified the relation between stock prices and management fees, the hypotheses developed with the illustrative model should bite. In the proceeding sections, we attempt to formally test whether there are measurable changes to PLPE GPs and their funds that coincide with these hypotheses. To do this, we treat the IPO of the GP firm as the "treatment" and compare to a propensity weighted control group based on AUM at the time of listing. There are some limitations to this approach. First, as show in Table 1, there are a limited number of these firms, and so there are few independent treatments. However, the firms in the sample reflect the population of these types of GPs. Second, the treatment is likely chosen endogenously by a subset of firms, i.e., only managers that want to list their firm will do so. This prevents a direct causal interpretation of the specifications, but

still leaves room for an examination of realized changes in means before and after listing that point to a mechanism consistent with what has been hypothesized.

Specifically, we run the following difference-in-differences regressions with outcome $Y_{i,g,t}$ for observation unit i (GP or fund) under GP g in year t:

$$Y_{i,c,t} = \alpha_{i,c} + \gamma_{c,t} + \beta \times (\mathbb{1}(\text{PLPE})_{i,c} \times \mathbb{1}(\text{Post-IPO})_{c,t}) + \epsilon_{i,c,t}$$

4.3.1 Sizing

The first hypothesis is related to the scale of the GP and their funds, which should both increase following the IPO. Figure 1 has already shown the overall AUM growth of these firms relative to a comparable control group. Panel A of Table 4 shows regressions with fund number, firm AUM and and year-over-year growth rate as the outcome variables. Post-IPO, AUM is on average 32% larger than pre-IPO and the GP grows at a 9% faster rate. They do this by raising approximately 6 more funds per year. Both of these reflect large shifts in the size and scale of these firms.

Given the large shift in fund sizing, we might expect some renegotiation of contracts between GP and LP will occur. A subset of funds in PitchBook report the traditional three headline number for these contracts, namely annual management fee percentage, carried interest percentage, and hurdle rate percentage. To counteract the preference on management fees, we might expect a reduction in the management fee percentage and an increase in carried interest. Panel B of Table 4 runs specifications with these as the dependent variable. It seems that carried interest and hurdle rate are essentially unchanged, while management fees, if anything, increase following the IPO. This panel seems to support the assumption that contracts have largely remained the same following the GP listing. However, it is possible that there are unobservable terms/stipulations other than the headline percentages that have changed.

4.3.2 Risk & Return

The second and third hypotheses relate to the risk and return profiles of these funds. To understand the risk-taking profile of the GP, we can look at the deals they choose to invest in pre- and post-IPO. For this, we aggregate to create a panel at the GP-year level. These are shown in Table 5. In Panel

A, outcomes related to overarching deal-related variables are shown Columns 1 and 2 show that these GPs invest in many more, smaller deals on average (which multiply up to a larger fund size overall). This points to a decrease in concentration in investments. Columns 3 and 4 make this clearer by explicitly computing the size-weighted Herfindahl-Hirschman Index (HHI) of the industries and states and countries the GP can invest in. This too shows a significant decrease in concentration. This is consistent with the GP avoiding over-allocating to a single, specialized industry or geography, and thus reducing risk.

Portfolio company characteristics are shown in Panel B. In terms of portfolio company financials, Columns 1 and 3 show that these companies are indeed smaller and have higher margins. Column 2 shows that pos-IPO, GPs take smaller percentage stake in these companies, leading to reduced exposure. In terms of investment cyclicality, Column 4 implies that these GPs reduce their exposure to software. More generally, we compute the market beta of each industry by regressing the representative industry portfolios against the market. Column 5 then shows that post-IPO, the average beta of deals is lower. Finally, Column 6 implies that these companies operate in lines of business with less competition. All columns in total lend support to the hypothesis that these GPs are constructing portfolios with less risk than before.

Table 6 tests whether fund returns and timing change after IPO. The hypothesis is that due to moving to more marginal opportunities, headlines returns will be lower. Similarly, following the decrease in risk, distributions should also serve to be more of a hedge than before.

Panel A shows regressions taking the headline returnss of the funds. Column 1 uses TVPI as the outcome and Column 2 uses IRR, both net of fees. Both columns have a significantly negative coefficient on the variable of interest, indicating that returns have decreased following public listing and the following up-scaling of size. The magnitude is not small, with TVPI falling by 0.2 and IRR by 4.7pp.

Panel B shows the specifications with market beta and a measure of downside returns. To construct both outcomes, we regress the quarterly percent return of the fund against the market portfolio and an indicator for whether the market portfolio has experienced a below average return that quarter. The former coefficient is the market beta and the latter coefficient is the "excess downside return". This is meant to serve as a measure of how much downside protection the fund provides on average. Column

1 shows that market beta decreases on average, and likewise, excess downside returns increase slightly. Both imply that the fund is less risky. However, these results must be taken with the understanding that all private equity funds perform return smoothing, and thus these regression coefficients are biased towards zero.

4.3.3 Capital Sourcing

Finally, given these large scaling and risk changes, there is the question of *how* these GPs raise this capital. Table 7 investigates this by regressing the share of LPs of each type that invest in all funds for each GP-year observation. Panel A first groups simply by the type of LP. Column 1 first verifies that the number of LPs has increased nearly 29% on average. Columns 2 through 7 then look at the shares of different LP types. Most show no difference, but Columns 2, 3, and 4 imply that there is an increase in sourcing from Foundations and a decrease from Pensions and Funds of Funds/Secondaries. This can make sense, as FoFs may have an increased target of absolute returns, which these PLPE funds no longer provide. Panel B makes the relation to "experienced" LPs more explicit. Column 1 shows that post-IPO, these GPs source capital from first-time PE investors, and Column 2 shows that they are similarly from LPs with few commitments. Finally, Column 3 computes the average TVPI that LPs have earned in the past, and post-IPO, the average return of sourced LPs is lower. This implies that LPs brought in for capital sourcing are less skilled than prior to IPO. This is either due to mechanically needing to source more unskilled managers, or a shift towards LPs that are less return conscious.

4.4 Who Benefits?

To see the extent to which these stocks have provided returns to investors, we can construct an index of these stocks and their managed private funds and compare. First, to construct the stock index, we simply take a quarterly, market cap weighted of the PLPE stocks. As each PLPE stock is listed, the stock is added and the index is reweighted. For the private fund index, we take the fund NAV of the previous quarter and invest a NAV weighted share into each fund available at that point. The return in that quarter is then the weighted average of the returns in that fund. Given the smoothing done in reporting private fund returns, this will be very smooth, but it will still provide a rough way to

evaluate how the total returns have progressed as a time series.

These indices are presented in Figure 4 alongside the overall market index. The PLPE stock index (blue line) is rather noisy, as it is the average return over a small subset of stocks. However, despite a large drawdown in 2008, it has outpaced both the private funds index and overall market. This is interesting, as these stocks, which are available to all investors, have outperformed their own funds on an absolute return basis over the past decade and a half. Again, due to the inherent smoothing for the PE funds, the Sharpe ratio is much lower. As implied by the tables above, these returns are driven almost solely by focusing on management fee growth, and so can provide an idea as to how the incentives of managers have changed.

We can further examine who holds the public equity, and thus benefits from the returns, from examining 13F holdings data provided by LSEG and Forms 3, 4, and 5 from the SEC. This data provides ownership at the CUSIP-level, which we then match to tickers. The 13F data provides four categories of investors, and the SEC forms detail insider holdings. Following Koijen et al. (2023), we define the household share as the remaining percentage of the market capitalization after subtracting the accounted-for categories. Separately, using LP investors in funds from PitchBook, we match the names of 13F institutions to those listed as LPs in PLPE private equity funds. This will provide an indication for whether the same LPs that invest in the private side also invest in the public side as a type of self-hedging, or if they avoid this type of investment to prevent over-concentration in the same management.

Panel A of Figure 6 shows the unweighted average share of market capitalization held by each type of investor across stocks that are either PLPE GPs or the population of other firms as of the fourth quarter of 2024. A few interesting patterns emerge. First, there is largely no difference between the two groups for investment advisors, banks, and insurance companies for how much they hold relative to other firms. Second, insiders are vastly overweighted, being held at nearly two times the rate as other firms. This points to the extent that managers within the firm have wealth tied to its value. Third, endowments/pensions are also overweighted in holding PLPE stocks. This points to traditional LPs potentially using GP stock as a way to gain exposure to these large managers.

Panel B makes this more explicit by examining the average share held by LPs known to already invest in private equity funds. To do this, I match institutions by name between 13F and PitchBook,

and find which GPs they have invested with at any point in time. The first bars show the share they hold in those matched GP stocks. The second bars show the share they hold in the GPs that they have never invested with, and this shows a much higher rate. Compared with the universe of other stocks, they hold the stock of invested GPs at half the rate, while holding the non-invested GPs at a marginally higher rate. This indicates that LPs seem to avoid over-allocating to the same firm across private and public investments.

5 Conclusion

This paper has presented a basic framework that can rationalize an increase in scale and decrease in risk for publicly listed private equity managers. We have shown that this is related to the way in which the stocks of these firms is highly driven by management fees, which differentially shifts incentives away from performance and LPs. We presented evidence consistent with this - that these firms do scale up and change their investment styles post-IPO. We conclude that these corporate governance choices can have a large effect when incentives and alignment of interests are the central pillar of an industry.

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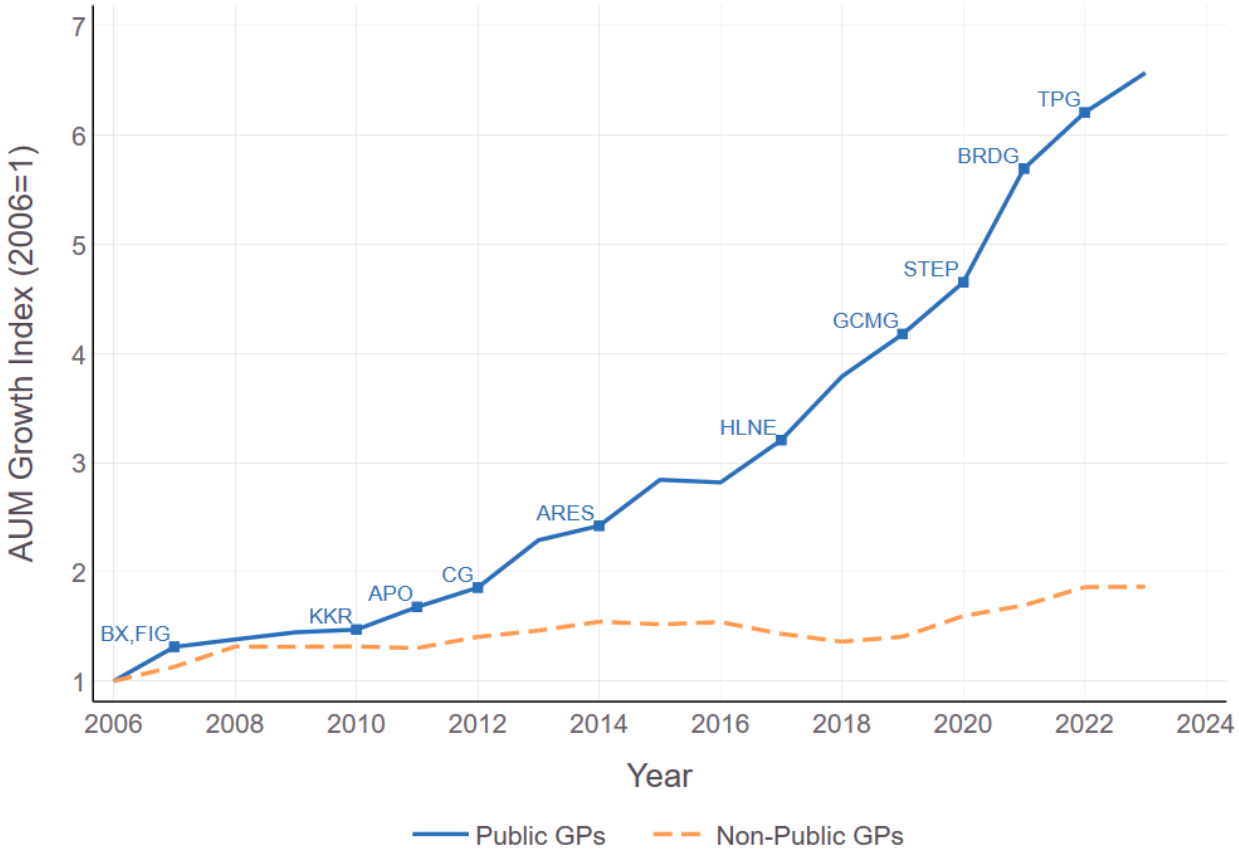
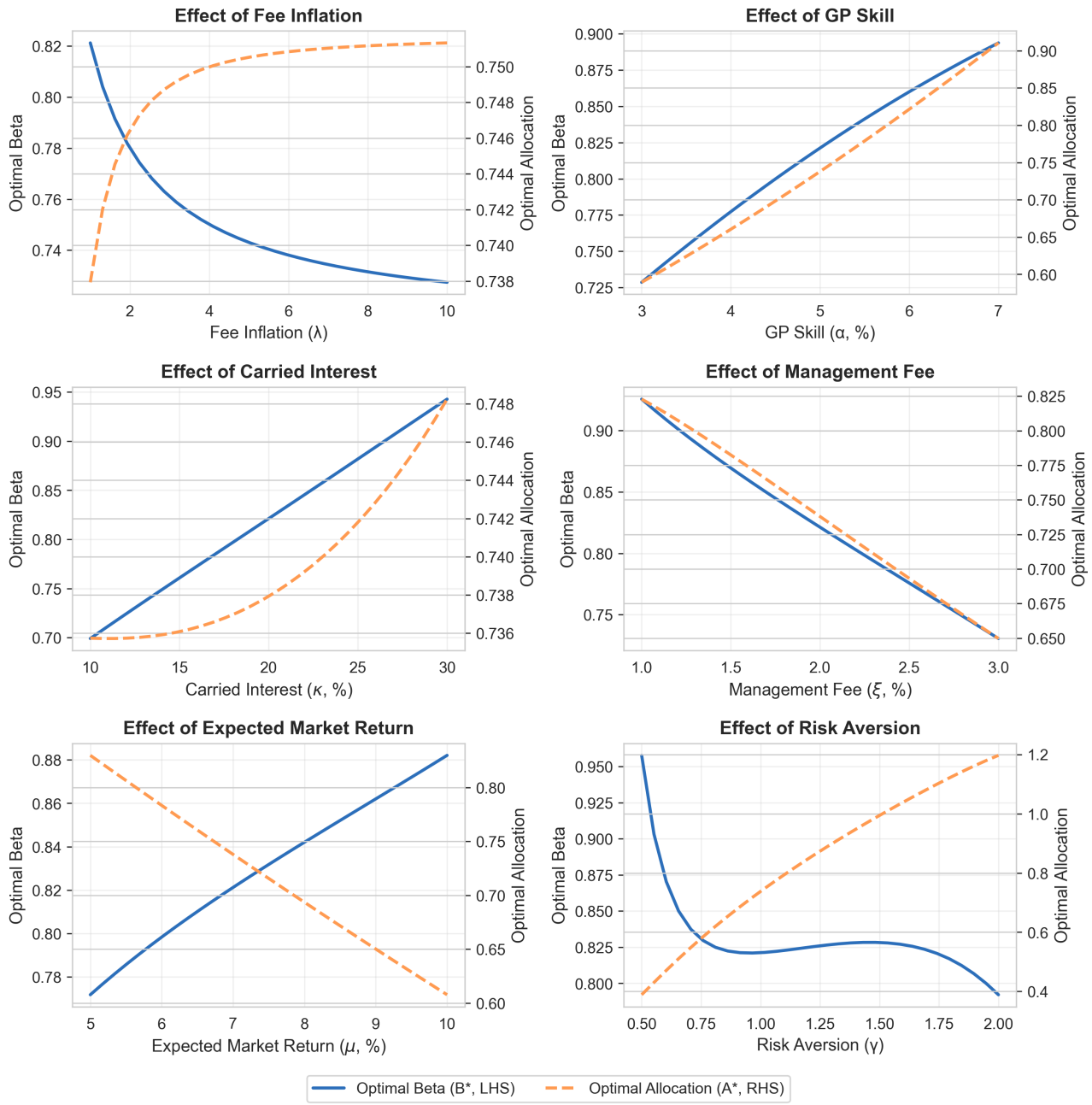
Figure 1: Assets Under Management Growth Index by GP Type



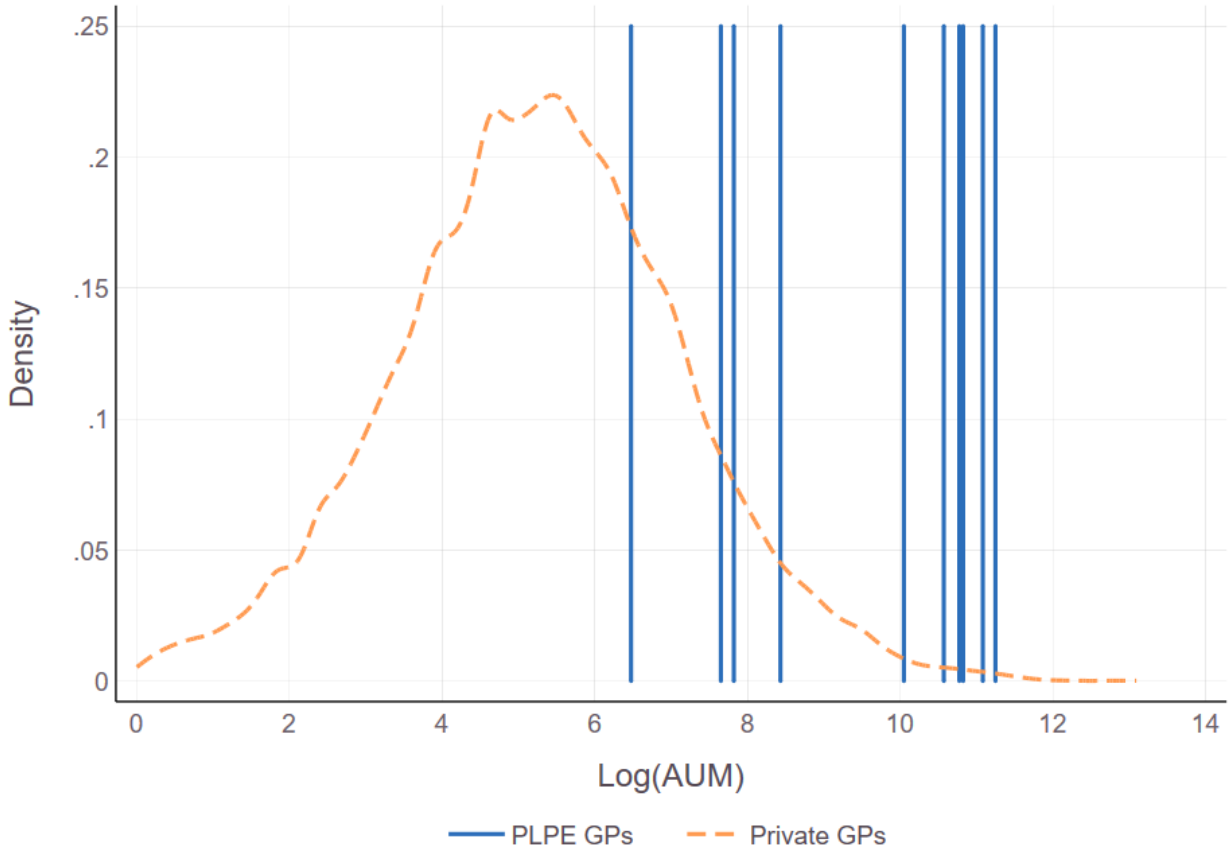
Note: This figure shows aggregated annual growth of listed and non-listed private equity GPs. Each year, the listed private equity GPs and 50 largest non-listed GP have their log-growth over the next year averaged and chained together over time to form an index of total growth. The constituents within each year change as more GPs publicly list and as private GPs grow or shrink. Index normalized to 1 in 2006, as 2007 is the year of the first GP IPO.

Figure 2: Comparative Statics



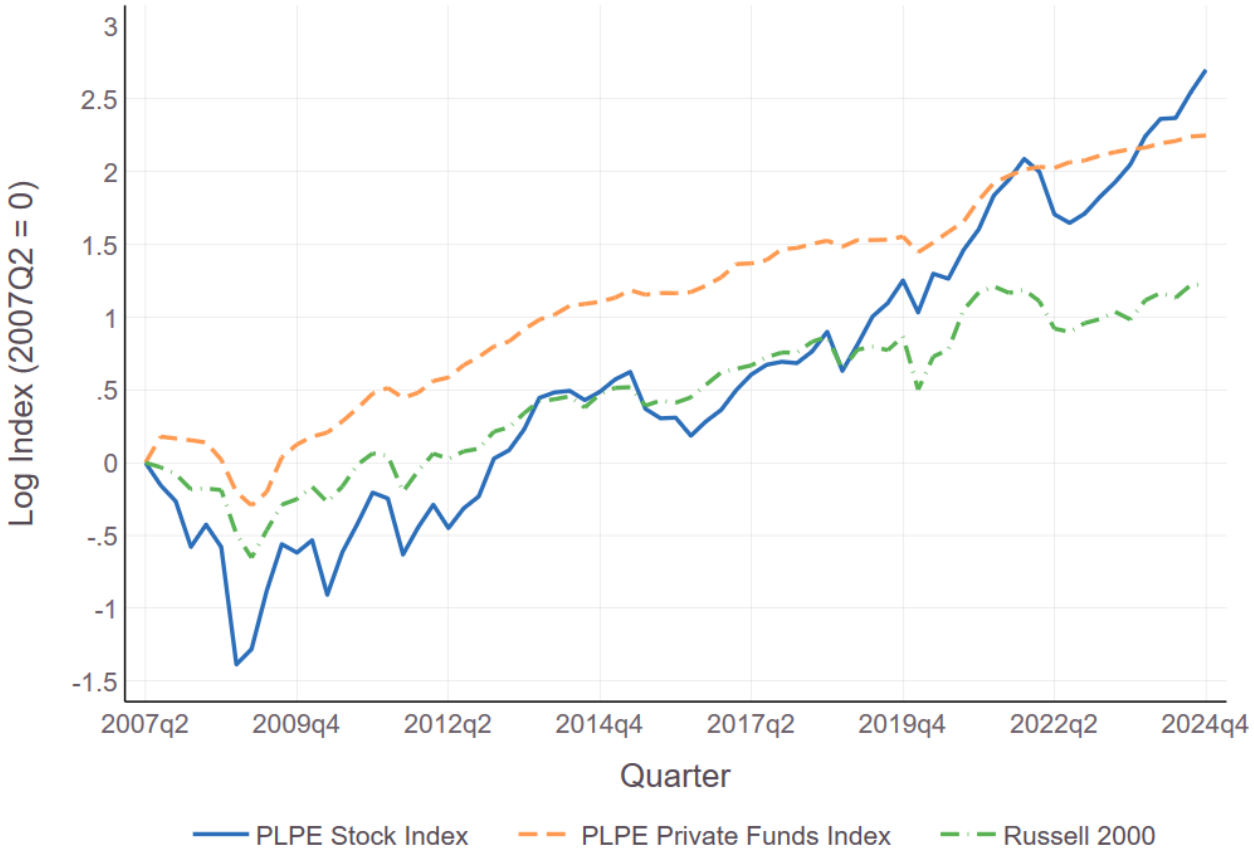
Note: This figure shows how the optimal allocation and optimal fund beta shift with respect to the weight placed on management fees by the GP. The parameters used (when not varied) are $\mu = 0.07$, $\sigma^2 = 0.2$, $\alpha = 0.05$, $\phi = 0.04$, $\gamma = 1$, $\kappa = 0.2$, and $\xi = 0.02$.

Figure 3: Assets Under Management at Time of IPO Relative to Distribution



Note: This figure shows the AUM of PLPE GPs at the time they listed compared to the overall distribution of GP-year observations for private GPs. The blue vertical bars are the discrete log assets for each PLPE GP, and the orange dashed line is the kernel density for private GPs. Private GPs limited to those with non-zero AUM. Kernel estimation uses the Gaussian kernel.

Figure 4: Cumulative Returns Indices by Asset Class

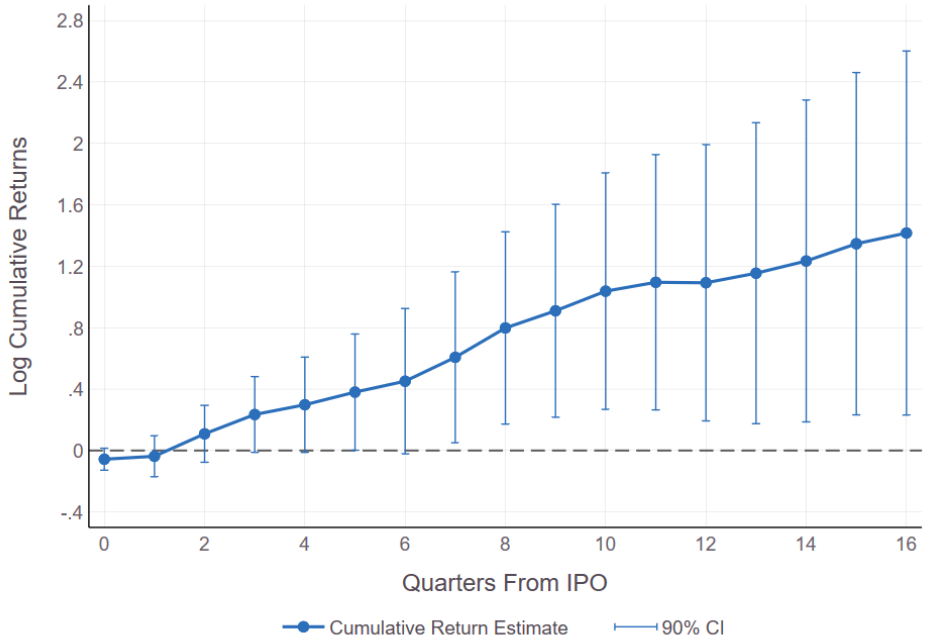


Note: This figure shows log cumulative returns indices for the publicly traded stock of PLPE GPs, their private funds, and the Russell 2000. The PLPE stock index is market cap weighted and rebalanced quarterly based on total market capitalization. The private fund index is the cumulative sum of the log of the NAV weighted average return of the underlying private funds for the PLPE firms.

Figure 5: Cumulative Returns Within Window Post-IPO

(a) Cumulative Returns Post-IPO

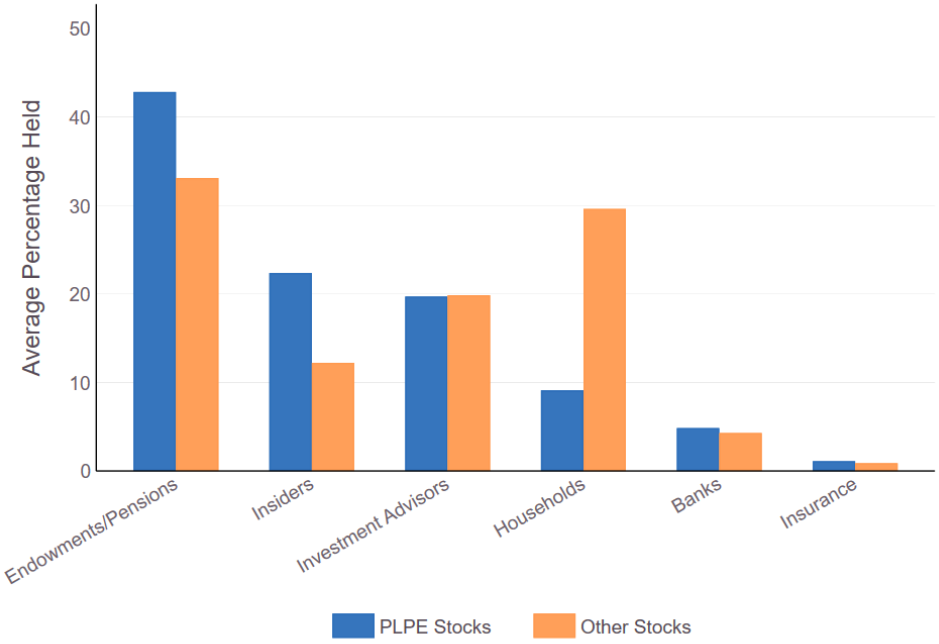
(b) Cumulative Returns Difference



Note: This figure shows cumulative average returns for PLPE stocks and their underlying private funds in the quarters following their IPO date. Panel A shows the average returns as two separate lines. Panel B shows the coefficients and 90% confidence intervals of regressing GP-quarter long-stock, short-fund returns against indicators for the quarter post-IPO. Robust standard errors are used for the confidence intervals.

Figure 6: Public Stock Holdings

(a) Public Stock Holdings by Investor Group



(b) Public Stock Holdings By LPs

Note: This figure shows the average share of market capitalization held by 13F institutions and insiders grouped by type. Panel A shows the average holdings by the broad categories. "Households" represents the remainder of market capitalization not accounted for by the other 5 categories. Panel B shows the shares among institutions matched to those listed as LPs of each GP. The first bar is the share held in GP stock with whom they are LPs. The second bar is the share held in GP stocks with whom they are not LPs. The final bar is the share held in non-GP stocks (all other companies). These shares are as of 2024Q4. The sample is limited to firms with a market capitalization of at least $100K.

Table 1: Summary Statistics

		PLPE		
GP Variables	**Private**	**Pre-IPO**	**Post-IPO**	**Post - Pre**
Number of GPs	5,692	11	11	0
Assets Under Management ($MM)	1263	22556	79311	56755***
Industry Concentration of Deals (HHI)	0.65	0.32	0.22	-0.10***
State Concentration of Deals (HHI)	0.72	0.32	0.16	-0.16***
Funds				
Funds per Year	1.3	2.7	9.6	6.9***
Fund Size ($MM)	402	1282	2488	1206***
TVPI	1.71	1.76	1.42	-0.34***
IRR	13.13	13.98	9.13	-4.85***
Management Fee (%)	1.70	1.58	1.49	-0.09
Carried Interest (%)	19.4	18.9	17.8	-1.1
Hurdle Rate (%)	7.8	8.1	7.3	-0.81***
Deals				
Number of Deals	37392	787	1441	654
Deal Size ($MM)	305	1326	963	-362***
Deal Company EBITDA Margin (%)	8.16	10.42	12.91	2.49
Deal Company $\mathbb{1}$(Net Income < 0)	0.31	0.41	0.29	-0.12***
Deal Company $\mathbb{1}$(EBITDA < 0)	0.20	0.19	0.16	-0.03
Deal Company Competitors	6.65	7.52	6.96	0.56***
Percent Acquired in Deal (%)	94.9	92.5	95.3	2.8***

Note: This table shows counts and means for various statistics. The last column shows the difference in means between pre- and post-IPO with stars for a t-test on the difference. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.

Table 2: Stock Price Supports

Dependent Variable:	Share Price			
	(1)	(2)	(3)	(4)
Book Equity per Share	5.035***	3.990***	5.159***	3.596***
	(4.74)	(7.14)	(4.69)	(6.57)
Fee-Related Earnings per Share		56.625***		63.827***
		(4.28)		(4.97)
Performance Earnings per Share			-1.196	5.327***
			(-0.46)	(3.26)
GP FE	Yes	Yes	Yes	Yes
N	295	295	291	291
R^2	0.607	0.784	0.610	0.802
Vuong Test Z-Stat		6.26	-1.61	6.18
Vuong Test P-Value		0.000	0.108	0.000

Note: This table shows regressions following Ohlson (1995) to determine the price supports for PLPE stocks. The sample period is from 2016Q1 to 2024Q4. The unit of observation is firm-quarters. Standard errors clustered at the GP level. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.

Table 3: Earnings Components Surprises

Dependent Variable:	3 Day Return						
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
EPS Surprise	0.005**		0.003		0.031***	0.004*	
	(2.26)		(1.46)		(4.39)	(1.79)	
Fee-Related EPS Percent Surprise		0.030***	0.027***				0.016**
		(4.25)	(3.84)				(2.05)
Performance-Related EPS Percent Surprise				0.002	-0.027***		
				(0.99)	(-3.84)		
$\mathbb{1}$(Fee-Related EPS Percent Surprise < 0)						-0.005	
						(-0.45)	
$\mathbb{1}$(EPS Percent Surprise < 0) $\times$EPS Percent Surprise						0.013	
						(0.80)	
$\mathbb{1}$(Fee-Related EPS Percent Surprise < 0)							0.009
							(0.83)
$\mathbb{1}$(Fee-Related EPS Percent Surprise < 0) $\times$Fee-Related EPS Percent Surprise							0.182***
							(3.83)
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	150	150	150	150	150	150	150
R^2	0.070	0.146	0.159	0.043	0.159	0.077	0.231

Note: This table shows regressions of three day price returns against earnings per share percent surprises, i.e., the surprise in earnings divided by the magnitude of the average forecast. The unit of observation is firm-quarters. Standard errors clustered at the GP level. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.

Table 4: Fund-Level Differences

Panel A: General GP Characteristics

Dependent Variable:	Log(AUM)	AUM Growth Rate (%)	Funds per Year
	(1)	(2)	(3)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	0.322***	8.878***	5.891***
	(6.97)	(5.05)	(8.55)
Cohort×Firm FE	Yes	Yes	Yes
Cohort×Year FE	Yes	Yes	Yes
N	368,363	356,166	418,390
R^2	0.977	0.245	0.786
Dependent Variable Mean	8.523	7.971	3.321

Panel B: Fund Fees

Dependent Variable:	Management Fee (%)	Carried Interest (%)	Hurdle Rate (%)
	(1)	(2)	(3)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	0.165*	-0.532	0.039
	(1.84)	(-0.31)	(0.38)
Cohort×Firm FE	Yes	Yes	Yes
Cohort×Year FE	Yes	Yes	Yes
N	1,765	1,765	1,490
R^2	0.841	0.743	0.951
Dependent Variable Mean	1.499	18.891	7.879

Note: This table shows stacked difference-in-difference specifications for variables measured at the fund level. Samples contained between 5 years before and 10 years after each treatment date. Panel A has outcomes related to general fund characteristics. Panel B has outcomes related to the GP-LP compensation contract for each fund. Standard errors clustered at the GP level. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.

Table 5: Deal-Level Differences

Panel A: GP-Side Deal Characteristics

Dependent Variable:	Deal Count	Ln(Deal Size)	Industry HHI	State/Country HHI
	(1)	(2)	(3)	(4)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	27.975***	-0.480***	-0.071***	-0.043**
	(3.95)	(-5.62)	(-4.90)	(-2.31)
Cohort×Firm FE	Yes	Yes	Yes	Yes
Cohort×Year FE	Yes	Yes	Yes	Yes
N	44,117	44,117	44,117	44,117
R^2	0.854	0.886	0.776	0.873
Dependent Variable Mean	40.607	4.778	0.301	0.334

Panel B: Company Characteristics

Dependent Variable:	Ln(Company Revenue)	Percent Acquired	EBITDA Margin	$\mathbb{1}$(Software)	Industry β	Company Competitors
	(1)	(2)	(3)	(4)	(5)	(6)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	-0.473***	-2.674***	2.701**	-0.028*	-0.006**	-0.632***
	(-5.59)	(-3.30)	(2.26)	(-1.74)	(-2.11)	(-5.88)
Cohort×Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Cohort×Year FE	Yes	Yes	Yes	Yes	Yes	Yes
N	39,524	43,048	28,976	44,117	44,117	38,588
R^2	0.811	0.805	0.654	0.750	0.719	0.635
Dependent Variable Mean	4.628	87.582	10.309	0.125	0.792	7.593

Note: This table shows stacked difference-in-difference specifications for variables measured at the deal level, which are aggregated to the GP-year level. Panel A shows variables related to the GP side of the deal-making process. Panel B shows variables related to the company that is the subject of the deal. Samples contained between 5 years before and 10 years after each treatment date. Standard errors clustered at the GP level. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.

Table 6: Fund Return Differences

Panel A: Headline Returns

Dependent Variable:	TVPI	IRR
	(1)	(2)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	-0.202**	-4.779***
	(-2.35)	(-3.53)
Cohort×Year FE	Yes	Yes
Cohort×Firm FE	Yes	Yes
N	9,921	9,728
Dependent Variable Mean	1.512	10.348
R^2	0.596	0.406

Panel B: Return Timing

Dependent Variable:	Market Beta	Excess Downside Returns
	(1)	(2)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	-0.031**	0.008*
	(-2.07)	(1.93)
Cohort×Firm FE	Yes	Yes
Cohort×Year FE	Yes	Yes
N	12,862	12,862
R^2	0.722	0.653
Dependent Variable Mean	0.219	0.012

Note: This table shows stacked difference-in-difference specifications for return variables measured at the fund level. Panel A shows headline returns, including total value of paid in capital (TVPI) and internal rate of return (IRR). Panel B shows variables related to the timing of returns, including market beta and excess downside returns. Samples contained between 5 years before and 10 years after each treatment date. Standard errors clustered at the GP level. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.

Table 7: Fund Limited Partner Differences

Panel A: Count and Category Shares

Dependent Variable:	Log(LP Count)	Pension	Foundation	FoFs/Secondaries	Money Managers	Insurance	Other
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	0.289***	-0.025**	0.029***	-0.012**	-0.002	0.004	0.007*
	(4.18)	(-2.08)	(5.96)	(-2.04)	(-0.67)	(0.56)	(1.68)
Cohort×Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Cohort×Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	118,164	118,164	118,164	118,164	118,164	118,164	118,164
Dependent Variable Mean	4.187	0.537	0.108	0.083	0.052	0.116	0.104
R^2	0.956	0.886	0.870	0.815	0.771	0.823	0.856

Panel B: LP Experience Shares

Dependent Variable:	First-Time	Above Median # Commitments	LP Average Past TVPI
	(1)	(2)	(3)
$\mathbb{1}$(PLPE) $\times$ $\mathbb{1}$(Post-IPO)	0.046***	-0.030***	-0.087**
	(9.44)	(-7.94)	(-2.45)
Cohort×Firm FE	Yes	Yes	Yes
Cohort×Year FE	Yes	Yes	Yes
N	118,164	118,164	76,661
Dependent Variable Mean	0.081	0.949	1.298
R^2	0.743	0.742	0.756

Note: This table shows stacked difference-in-difference specifications for LP count and share variables measured at the GP-year level. The dependent variable for all but column 1 of Panel A and column 3 of Panel B are the unweighted shares of LPs in private equity funds. Samples contained between 5 years before and 10 years after each treatment date. Standard errors clustered at the GP level. ***, **, * represent significance at the 1%, 5%, and 10% level, respectively.